Business and Society: Business and Public Policy

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Course Overview)

Most business strategy courses focus on the organization of the firm and analysis of the market environment within which companies operate. Yet an important element in pursuing competitive advantage is the ability of a firm to influence and adapt to the *nonmarket* business environment—the rules, regulations, domestic institutions, and international institutions that define the context of the market and the social issues they are trying to address.

This course focuses on public policy issues that affect all of society and what we (businesses, government, individuals) should be aware of to understand our influence on them. It examines this broader environment from the perspective of the firm through both case studies and through the lens of how businesses can be most competitive in environments where these issues can be a constraint but also an opportunity. Understanding how businesses should react to or affect major policy issues will affect their ability to perform and create value, not only for its shareholders but for society as well.

Through this lens this course explores how business can be a force for good. Businesses generate economic growth and prosperity. In a world in which various market imperfections are not present the profit-maximizing behavior of firms competing in markets can lead to efficient outcomes. However, there are often times when unfettered markets fail to operate efficiently and provide the right environment to achieve both the goals of business and society more broadly. In these cases, there is an established role for public policy in helping businesses succeed and ensuring that societies larger objectives are met.

Course Learning Objectives

1. To understand the role of public policy and how it affects businesses and society. What are the major challenges facing society today? When does government need to intervene? What are governments doing and what should businesses do in turn? These skills will be critical for businesses that need to develop strategy considering government intervention and for those organizations that will provide consultancy services to those companies that need to operate within the constraints of public policy.

2. To explore how business can and should act responsibly--with care for the greater societal well-being---so that we can improve social progress above and beyond what can be achieved if businesses were to leave all of the duty of fixing market failures to government.

3. Through lectures, discussion, and group exercises in class, it attempts to give participants a sense of the trade-offs and dilemmas that managers and policy makers face as they craft strategies to deal with key nonmarket issues.

4. It should make participants more sophisticated observers of daily media reports about international events and processes that may have a profound impact on them as managers and citizens

Specific Course requirements

Readings and Cases: All cases and readings are mandatory.

III. CLASSROOMS NORMS

Engage fully:

- Arrive on time
- Absolutely no electronic devices please
- Remain in class until the end of each session
- Sit in the same seat during each class
- Bring and display name cards

Rules of engagement:

- Come prepared to question and debate
- Behave tolerantly and with respect toward your peers
- Respect the role of the professor in ultimately directing the discussion
- Read the case before class

Course textbook(s) – No required/recommended textbooks.

Author(s)	Title	Publisher	Edition# / Year	ISBN	Required / Optional

Grading Scheme

Grade components	Percentage	Graded out of
Individual class participation	30%	
Final examination	70%	
Total	100%	

Grading scheme explained

Your overall grade will be determined as follows:

Class participation (30%):	Oral participation is a key element in developing skill as an advocate for your position. While the quality of participation is more important than sheer quantity, a minimum level of participation is clearly essential. The grading scheme for participation is outlined below.
Final Examination (70%):	The exam will be a scheduled individual exam.

What to expect in this course?

The purpose of this section is to provide learners with a general description of the course materials and assignments they will work with in the course. Please set clear expectations about the learning behavior you want learners to adopt during your course and how to approach the work to do. Answer the following questions:

What course materials do you provide in your course? Provide a general description
Most of the classes will focus on discussion of the cases and/or readings. We will augment this with conceptual frameworks that we will build from the discussion and that will be presented formally in class. Therefore, in order make the most of our time together please read the cases before hand and come with some thoughts about how the issues presented apply in both the context of the case and beyond.
What key assignments and/or cases students will need to complete during the course? Provide a general description.
Students need only read the cases and participate in the discussion. The other assignment will be a final examination which will focus on applying the frameworks discussed in class to a current policy issue.
How should students approach the readings, exercises and/or tutorials in your course?
Many policy cases require a specific jurisdictional setting. Therefore students might initially feel that these issues do not necessarily apply in their country or work or origin. I would encourage students to think critically about how the issues do indeed apply more broadly and what does and does not resonate for them.

Sessions Overview

Sessions #	Session Overview	Session Description	What will you need in class?
Session 01	Business and Public Policy: why should you care?	• What works well about capitalism? What needs fixing? • Why and when do markets fail? • What is the role of government in a market system? • Policy tools for government when markets fail. •	• Readings to be done before class: P. Collier et al. "Capitalism: what has gone wrong, what needs to change, and how it can be fixed," Oxford Review of Economic Policy, 37(4), 2021.
Session 02	Dealing with Externalities: Climate Change	• How are businesses and governments responding to the challenge of climate change? • What is an externality? • Should governments regulate or tax carbon? What's the difference? • Should different countries contribute differently to dealing with climate change?	• Readings to be done before class Bolton et al "Climate and Debt" CEPR Press, 2002, chapters 1 and 2. https://cepr.org/system/files/publication-files/173807-geneva_25_climate_and_debt.pdf

Sessions #	Session Overview	Session Description	What will you need in class?
Session 03	International Taxation, firm location and the obligations of multinational businesses	• Why do we have corporate taxes? Who pays them? • How do taxes affect firm location decisions? • Why are governments increasingly concerned about these decisions? • What are the implications for businesses?	• Readings to be done before class Case: "Did Apple Pay Too Little Tax" (INSEAD-6664) Case: "International Tax Reform: G20/OECD Two-Pillar Solution" (INSEAD- 6727)
Session 04	Competition and the Regulation of the Big Tech companies	• Why do we care about competition and concentration? • Historically what have we done about it? • How do companies think about competition policy? • New issues emerging in competition policy: zero-price, data privacy	Case: WhatsApp: Where Tech Watchdogs Collide with Tech Giants (INSEAD-6675)
Session 05	Making Labour Markets Work for Business and for Workers	• How and why do governments regulate labour markets? What are the pros and cons? • Do we care about quality or quantity of	• Readings to be done before class C. Aksoy et al. "Working from Home Around the Globe: 2023 Report" https://wfhresearch.com/wp-content/uploads/2023/06/GSWA-2023.pdf

Sessions #	Session Overview	Session Description	What will you need in class?
		employment? Is it a trade-off? • What will work look like in 10 years?	
Session 06	The gender pay gap in work and in education	• Why are women paid less than men? • What forms does discrimination against women take, if any? • do we care about competition and concentration? • What kind of business initiatives or public policy would efficiently reduce the gender wage gap? • Do we need governments to intervene to enforce equal pay or will businesses take the appropriate decisions by themselves?	• Readings to be done before class "The Child Penalty Atlas" H. Kleven, C. Landais, G. Leite-Mariante. https://www.nber.org/system/files/working_papers/w31649/w31649.pdf
Session 07	Income and wealth inequality	• What's the problem with inequality? • What are the likely solutions?	• Readings to be done before class World Inequality Report, 2022, Executive Summary

Sessions #	Session Overview	Session Description	What will you need in class?
		• Who are globalizations winners and losers? • Why should firms be concerned about the backlash to globalization?	

CLASS PARTICIPATION GRADING SCHEME:

GRADE	CRITERIA
0	Absent
1	• Present, not disruptive. • Tries to respond when called on but does not offer much. • Demonstrates very infrequent involvement in discussion.
2	• Demonstrates adequate preparation: knows basic case or reading facts, but does not show evidence of trying to interpret or analyse them. • Offers straightforward information (e.g. straight from the case or reading), without elaboration, or does so very infrequently (perhaps once a class). • Does not offer to contribute to discussion, but contributes to a moderate degree when called on. • Demonstrates sporadic involvement.
3	• Demonstrates good preparation: knows case or reading facts well, has thought through implications of them. • Offers interpretations and analysis of case material (more than just facts) to class. • Contributes well to discussion in an ongoing way: responds to other students' points, thinks through own points, questions others in a constructive way, offers and supports suggestions that may be counter to the majority opinion.

	• Demonstrates consistent ongoing involvement.
4	• Demonstrates excellent preparation: has analysed case exceptionally well, relating it to readings and other material (e.g. readings, course material, discussions, experiences etc.). • Offers analysis, synthesis, and evaluation of case material; for example, puts together pieces of the discussion to develop new approaches that take the class further. • Contributes in a very significant way to ongoing discussion: keeps analysis focused, responds very thoughtfully to other students' comments, contributes to the cooperative argument-building, suggests alternative ways of approaching material and helps class analyse which approaches are appropriate etc. • Demonstrates ongoing very active involvement.

Session Pre-Readings

For each pre-reading in your course, please indicate whether students should have a specific set of reflection questions, or you want students to reflect on a specific angle when reading it, or students should just read it.

Read for Session #0	Title and Authors	Publisher or Review and mm/dd/yyyy	Mandatory / Optional	Available online? If yes, please provide URL	Reflection questions/ Reflect on specific angle/ Just read
Session 1	• "Capitalism: what has gone wrong,	Oxford Review of	Mandatory	https://academic.oup.com/oxrep/issue/37/4 (requires access through INSEAD Learning Hub)	

	what needs to change, and how it can be fixed,"	Economic Policy			
Session 2	• Climate and Debt (ch1 and ch2)	• CEPR Press	• Mandatory	https://cepr.org/system/files/publication-files/173807-geneva_25_climate_and_debt.pdf	•
Session 3	• Did Apple Pay Too Little Tax?	• INSEAD-6664	• Mandatory	•	•
Session 2	• International Tax Reform: G20/OECD Two-Pillar Solution	• INSEAD-6727	• Mandatory	•	•
Session 4	• WhatsApp: Where Tech Watchdogs Collide with Tech Giants	• INSEAD-6675	• Mandatory	•	•
Session 5	Working from Home Around the Globe: 2023 Report	• WFH Research	• Mandatory	• https://wfhresearch.com/wp-content/uploads/2023/06/GSWA-2023.pdf	•

Session 6	The Child Penalty Atlas	• NBER	• Mandatory	• https://www.nber.org/system/files/working_papers/w31649/w31649.pdf	•
Session 7	• World Inequality Report 2022, Executive Summary	World Inequality Lab	• Mandatory	• https://wir2022.wid.world	•

Session Assignments

If your assignment instructions are detailed, please provide your assistant with a separate file, i.e. case or quiz questions, group allocation details etc…

Due in Sessions #	Task Short Description and/or Questions	Submission Requirements (max length, Essay,)	Specific Group Allocation IF APPLICABLE	Additional instructions IF APPLICABLE
Session 01				
Session 02				
Session 03				
Session 04				
Session 05				
Session 06				
Session 07				

Additional Details

	What	In which Session(s)?
Will you use learning tools in the classroom? Indicate what tools	Nil	Nil
Will you put the students in groups?.	Yes	Most, depending on class discussion
Will you have any specific requirements for this session?	Nil	Nil

Final exam

Will it be an OPEN or a CLOSED-book exam?	• Closed
Are students allowed to use their book and their e-book? If only the book, please specify.	•
Are students allowed an A4 double-sided or single-sided sheet of notes / formulas during their exam?	• No
Will it be an in-person exam or an online or both (dual) exam?	• TBD
Will it have to be proctored? **For an in-person exam, how many proctors would you suggest in each Amphi?**	• Yes • 1
What type of questions has the exam? (For Online Exams Only) **Example: My exam is approx. 25-30% MCQs and 70-75% problem-solving. I expect students to handwrite and then upload scans of their answers. There are equation and/or graphical answers.**	•
Are students allowed to use a scientific or a standard calculator?	• No